



LONDON POLITICA

REPORT

Europe Risk Outlook 2025

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About us

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Executive Summary

The European continent is navigating a world of increased geopolitical competition and pressures. Internal divisions, rising violence, economic dependencies, and populism threaten Europe's position, while fragmented ties and differing approaches to security are straining the transatlantic alliance. Our report aims to identify Europe's most relevant and interconnected threats in 2025 and provide decision-makers with a comprehensive understanding to proactively adapt their strategies in the rapidly changing environment.

Key Risks for Europe in 2025

- **German governance in shambles:** The traditional dominance of the centre-right and centre-left could be tested by right-wing populism in the upcoming elections. Immigration and the economy are the two primary issues as Germany struggles to restart its economy amidst the loss of cheap energy and reduced export demands, making it essential for the incoming government to prioritise addressing high energy prices while balancing climate-neutrality goals.
- **Europe adrift after US election:** Trump's return deepens US-Europe divides, fueling trade tensions, military burden-shifting, and political fragmentation. Protectionist policies threaten European industry, while NATO cohesion weakens under Washington's demands that allies shoulder more security costs. Far-right movements gain momentum, challenging EU stability and widening internal divisions. Without a unified response, Europe faces major economic and strategic risks in an increasingly unstable transatlantic order.
- **Europe-China relations mired in uncertainty:** In 2025, the EU will be forced to reevaluate its current ties with Washington, and thus its global outlook. A renewed trade conflict between China and the US, concurrent with trade disruptions between the US and EU, risks damaging EU supply chains and its broader economic security. Brussels must pursue enhanced decoupling strategies to reduce existing dependencies and resolve key supply chain bottlenecks. An expedited rollout of a unified European industrial policy would enhance trading ties with key partners, ensure a robust supply chain diversification, and strengthen European geostrategic autonomy.

- **Fragile peace in Ukraine could mean more war:** The war in Ukraine might ostensibly end this year, but Russia's conflict with the West will carry on. Any peace deal will be built on unfulfilled strategic objectives and normalisation efforts characterised by mistrust. As transatlantic ties experience a downturn and geopolitical aims realign, Europe needs to close its defence gap quickly enough to establish effective deterrence if it wants to meet the next challenges head-on.
- **Unconventional risks from the Middle East:** The danger of violent extremism and sectarian violence is rising as conflict zones in the Levant teeter on the brink of momentous change. Other major risks include a potential new attack vector of information warfare and the political lightning rod of immigration.
- **Europe's sovereignty and identity crisis:** The EU will need to quickly strike a balance of maintaining its unity without invalidating its Member States' sovereignty. The rise of right-wing radical parties threatens the EU's core values and its capacity to enact an efficient foreign policy or integrated defence. European countries also have to balance economic headwinds, including high debt and inflation, as they work to regain influence in a multipolar world.

Section 1: German Election – A Shift to the Right

By Connor Cowman and Jean-Eric Belmonte

German politics and economics underwent an unusual period of upheaval in 2024, driven by several long-standing trends, including the inherited reliance of the German economic model on Russia and China, a hallmark of Angela Merkel's 16-year tenure. Olaf Scholz positioned himself as the continuation of Merkel's legacy, but proved to be less adept than his predecessor at coalition maintenance. When the German courts struck down a key element of the government's proposed budgetary design, Scholz fired the finance minister, triggering the breakdown of his fragile governing coalition. Germany currently faces a government in flux, a resurgent far-right, an economic slump, and a historic snap election in February.

1.1. The Breakdown of Germany's Governing Coalition

1.1.1. Scholz as Chancellor

Olaf Scholz was sworn in as Chancellor on 8 December 2021, ending the center-right Christian Democratic Union's (CDU) 16-year hold. Yet Scholz stayed the country's previous course: he [prioritised business](#) over politics in Germany's relationship with China, was [amenable to the wishes](#) of the German automotive industry, and kept a relatively [open policy](#) towards migration. Despite the upheaval in the German energy supply as a result of the Russian invasion of Ukraine, Scholz [completed](#) Germany's denuclearisation.

He was praised for his [Zeitenwende](#) speech, condemning Russia's invasion of Ukraine, but became reticent about militarily supporting Ukraine or sanctioning Russia. Likewise, German defense continued to be [underfunded](#), and little was done to fix a continuously declining economy and rising energy prices. The perceived lack of urgency in addressing key issues in his first three years as Chancellor [negatively affected](#) Scholz's popularity. Domestic dissatisfaction grew, even within his own party, with Scholz being criticised as a "[know-it-all](#)" figure with a "[traffic cop](#)" style of governance.

The Scholz government had mixed results in fulfilling the SPD's [campaign promises](#). On the positive side, Germany [fared better](#) than most European countries during the Covid-19 pandemic, which was the [most pressing election](#) issue in 2021. German company BioNTech collaborated with U.S. firm Pfizer to create the [first Covid vaccine](#), bolstering Germany's prestige in the pharmaceutical industry, bringing [related investment](#) to Germany, and

supporting the SPD's mission to maintain Germany's status as the "[pharmacy of the world](#)." After years of negotiation, Germany has also begun reforming its [hospital sector](#), another SPD goal.

Though the Scholz government, significantly influenced by the Greens, has [pushed hard](#) for wind, solar, and hydrogen power, Germany is still [unlikely](#) to meet its 'net zero by 2045' goal, especially considering that the phaseout of nuclear power [necessitated](#) more gas power plants. Another half-success has been the revitalization of the German military (*Bundeswehr*). Although the €100 billion special fund for the modernization of the *Bundeswehr* has [enabled](#) Germany to temporarily meet the NATO requirement of spending 2% of GDP on defense, purchase new armaments and weapons systems, and permanently deploy troops to Lithuania to increase deterrence against Russia, it remains to be seen whether Germany will continue to meet the NATO spending requirement come 2027 or 2028 when the special fund [runs out](#). The Scholz government has also failed to manage violent crime (which reached a [15-year high](#) in 2024), to create a new *Deutschland-Tempo* through lowering bureaucratic restraints (which [remain massive](#)), or to bolster European unity (which has suffered through a [lack of German leadership](#)). A notable exception to this leadership deficit is Germany's [willingness](#) to excise Russian fuel imports from their energy portfolio, which many [other European countries](#) are still delaying.

1.1.2. A contentious coalition

Scholz's party, the centre-left SPD, headed a three-party coalition government alongside the German Greens and the Free Democratic Party (FDP). The Greens were appointed Vice-Chancellor and got the Ministries of Economy and Foreign Affairs, while the FDP headed the Ministry of Finance.

As the term advanced, the [disagreements](#) within the coalition reflected the marked differences in ideology, priorities and policymaking between the three parties. The mounting tensions over the 2025 budget, a key aspect of which was [ruled unconstitutional](#), led to a [coalition crisis](#) that reached its breaking point on 6 November 2024 when Scholz sacked the finance minister and leader of the FDP Christian Lindner over the *Schuldenbremse*, or German debt brake. Lindner's economic proposal had called for tax cuts, the reduction of welfare protection, and a relaxation of carbon emission laws, measures that positioned the FDP in opposition to the SPD and the Greens' policy priorities. In a broader sense, the collapse of the coalition government stemmed from the three parties' inability to reconcile their [differing priorities](#) on climate action, social welfare, and [fiscal strategy](#).

1.2. German Economy Under Pressure

The overreliance on [Russian gas](#) severely affected Germany's [energy-intensive industries](#) (automotive, machinery, chemical and electrical) and consequently its export-driven growth model. Developed since the late 90s, this model was also seen as a foreign policy tool, but one which has arguably been exploited by foreign powers, most prominently China. Europe's largest economy is now struggling to recover from its recession. Despite signs of the economy stabilising, Germany has the lowest growth rate projected by the [OECD](#), influenced by uncertainty of the current geopolitical tensions while energy prices remain high.

1.2.1. Loss of cheap energy

Since the 70s, Germany and Russia established a deep [trade relationship](#) based on energy, which has also become the foundation of its interdependence-focused foreign policy, and by early 2022, more than half ([55%](#)) of Germany's imported gas came from Russia. The recession was not as catastrophic as many had expected as Germany rapidly adjusted to importing from alternative energy sources such as Liquid Natural Gas (LNG) from the US and Norway. Significantly helped by the AggregateEU, the EU's "demand [aggregation and joint purchasing](#) mechanism," Germany was able to access these alternative sources and stabilise the energy prices. Production dropped in energy-intensive industries that heavily relied on gas, but the impact was not enough to cause a severe disruption. Despite implementing the Energy Efficiency Act, German businesses [surveyed](#) in 2024 by the Association of German Chambers of Industry and Commerce (DIHK) highlight the high energy prices and the uncertainty surrounding the energy policy as causes for relocating their production to other countries.

1.2.2. Reduced export demand

Germany saw great opportunities in China's then-booming economy. Building strong economic ties between both, China became Germany's source for cheap production costs and its second largest export market, with a [value rising](#) from 52 billion euros in 2009 to an all-time high 123 billion euros in 2021. The surge of demand incentivized investment and stimulated job creation in Germany, propelling its economy to become the 4th largest in the world. However, China steadily overtook Germany's position as a global exporter of cars, machinery and chemical products, fostering the expansion of its own technological and industrial companies abroad which rival Germany's leading companies in electric automotive and technological innovation. Slow to adapt to the market transformation, German car manufacturers have found themselves behind their [thriving](#) Chinese EV competitors and unable to match their car market's performance.

1.2.3. Layoffs and crisis in key sectors

Across Germany's main industries we see a trend of cost-saving measures that include site closures and layoffs. [Volkswagen](#), the leading global car manufacturer, announced plans to shrink its operations in Germany as part of its deep restructuring which includes the shutdown of three factories and [cutting 35,000 jobs](#) after reaching a deal in long negotiations with the labour union. BASF (*Badische Anilin- und Sodafabrik*), the world's largest chemical producer, is aiming to further [cut costs](#) in Germany after a year 2023 marked by site closures and layoffs around its Ludwigshafen headquarters and across Europe. Likewise in the [machine tool industry](#), Siemens, Bosch and Thyssenkrupp announced thousands of job cuts in the next few years. This industry is closely related to the automotive industry as they also supply car parts, suggesting a reciprocal effect where the collapse in one affects the other. Germany's [unemployment rate](#) in 2024 is one of the lowest in the EU, standing at 3.3%. However, the number of unemployed people in November 2024 (1.49 million) increased 10.1% compared to the same month in 2023. As companies seek to cut costs, more site closures, delocalisation and layoffs can be expected, prompting strikes, growing public dissatisfaction and potentially strengthening the far-right's position which will exploit the situation.

1.3. Far-Right Rising

1.3.1. Path to prominence

In 2013, the *Alternativ für Deutschland* (AfD) party was founded by a small group of fiscal conservatives and businessmen in response to the then-ongoing [European debt crisis](#). The party's main focus at its founding was to bring an end to the euro and initiate a return to national currencies across Europe, a platform that failed to win the party any seats in the *Bundestag* in the 2013 federal elections. Striking a more [nationalistic tone](#) in the state and European elections in 2014 and 2015, the AfD achieved more success, winning seats in the European Parliament under the [ECR Group](#) and in the state parliaments of Saxony, Brandenburg, Thuringia, Hamburg, and Bremen. These minor successes proved to be quiet preludes to what came later.

The 2015 European migrant crisis, which saw over a million asylum seekers from the Middle East arrive in Europe, radically changed the party. In response to the influx of migrants, the highest percentage of which came to Germany, then-Chancellor Angela Merkel famously remarked, "*Wir schaffen das*," or, "We can handle this." Members of the AfD disagreed. Party messaging became largely focused on this issue, [calling for](#) Merkel to resign over her purported mishandling of immigration and for a reversal of Germany's willingness to accept high numbers of migrants. The AfD became increasingly xenophobic, and also called for deeper German cooperation with Russia, prompting founder Bernd Lucke to [leave the party](#). After high profile incidents like migrants allegedly committing [mass sexual violence](#) against

women on New Year's Eve in 2015, the AfD's popularity reached new heights; in the 2017 federal elections, the AfD won 12.6% of the vote and 94 seats in the *Bundestag*.

Since its 2017 electoral success, the AfD has [deepened support](#) among conservative voters in East Germany, who tend to be more Euro-sceptic, more favourable towards cooperation with Russia, and less tolerant towards migrants. Despite scandals like the [2023 meeting](#) at which certain AfD party leaders, sympathetic businessmen, and far-right ideologues discussed the mass deportation from Germany of people with non-European heritages, the AfD's popularity has remained strong. The AfD is currently the [second-most popular](#) party in Germany, and in September, it [achieved victory](#) for the first time in a regional election with nearly one-third of the vote in the state of Thuringia. Notably, the chairman of AfD Thuringia is one of the party's more radical leaders, [Björn Höcke](#), who also heads the party's far-right *Der Flügel* (The Wing) faction.

1.3.2. Dynamic German political opposition

It remains to be seen how well the AfD will perform in the February 2025 snap elections. As of this writing, they sit at [21%](#), 8 points below the current leader, the Christian Democratic Union (CDU). The CDU, representing the center-right bloc in Germany, has placed a *cordon sanitaire* around the AfD. However, this *Brandmauer*, or firewall, is not impenetrable, and at the [local level](#), there has been cooperation between the two parties. However, since the CDU's candidate for Chancellor, [Friedrich Merz](#), personally [supports](#) the cordon and has taken a [tough stance](#) on immigration, the CDU is likely to hold firm on its anti-AfD blockade in the *Bundestag* and may even entice some voters back from the far-right.

1.4. Projections for the Forthcoming Elections

On Monday, 16 December 2024, Chancellor Olaf Scholz intentionally lost a vote of confidence. Knowing that an unstable minority government was likely to only sink his party's already low [approval rating](#), Scholz calculated that the best path forward would be to trigger snap elections rather than wait until September 2025, when the regularly scheduled federal elections were set to take place. Germans will now head to the polls on 23 February 2025.

1.4.1. The battered SPD

Barring an extreme event, the SPD will lose significant seats in the *Bundestag*, and Scholz will lose his position as Chancellor. Currently polling in [third place](#), the SPD chose to [stick with](#) the [unpopular](#) Scholz as its lead candidate, forgoing the [more popular](#) Defense Minister Boris Pistorius. The party's [campaign strategy](#) promises to maintain Germany's welfare state, suspend the debt brake, raise taxes on the rich, and create the 'Germany Fund,' a measure designed to accelerate infrastructure construction. On immigration, the [most important issue](#) to Germans, the SPD chose to [mainly focus](#) on the need for creating an easier

immigration process for high-skilled foreign labor into Germany. Scholz also [stands opposed](#) to an increase in the German defense budget, which is currently at [2%](#) of GDP.

1.4.2. The CDU in the lead

Friedrich Merz heads the Christian Democratic Union (CDU), currently Germany's chief opposition party. Together with its Christian Social Union (CSU) sister party, the Union has a [consistent](#) lead in the polls and represents center-right conservatives in the nation. The CDU's [campaign manifesto](#) stresses the continued need to modernize and bolster the *Bundeswehr*, support Ukraine in its defensive war against Russia, and take more responsibility in NATO. The CDU gives these matters a high priority despite the fact that foreign policy is a [distant third concern](#) behind immigration and the economy for Germans. On these two issues, the CDU diverges from the SPD. With respect to the economy, the CDU [aims](#) to cut taxes to stimulate investment, deregulate and digitize, lower energy costs, and rework the welfare system. On immigration, the CDU seeks to strengthen borders, increase deportations, and process asylum claims in third countries. On 29 January, the *Bundestag* [passed](#) a nonbinding resolution on immigration, championed by Merz, which could violate Schengen rules. Controversially, Merz accepted support from the AfD to pass the motion, which he characterised as "[regrettable](#)."

1.4.3. The AfD on the rise

After the [Magdeburg attack](#), some likely CDU voters [switched](#) their allegiance to Alternative for Germany (AfD), the far-right party that is currently the [second most popular party](#) in the country. In its [campaign manifesto](#), the AfD argues for a mass deportation program, the removal of all [immigration quotas](#), and a drastic cut to migrant benefits. Implementing these measures would likely necessitate Germany's withdrawal from the EU's new [migration pact](#). On the economy, the AfD are in favor of lower taxes, deregulation, debureaucratization, a smaller welfare state, and a [return](#) to higher consumption fossil fuels, specifically from Russia. More controversially, the AfD advocates both a German exit from the EU and a return to the Deutsche Mark, Germany's currency before the euro.

1.4.4. What lies ahead?

While Friedrich Merz and the CDU are headed for victory, the AfD will likely win enough of the vote to force a broad coalition of its traditional opponents. It is [unlikely](#) that the AfD will be included in any coalition, unless it wins enough seats to "[rip down](#)" the *Brandmauer* itself. The Greens are [aligned](#) with the CDU on Ukraine and are polling at 14%, but the FDP [may not clear](#) the 5% vote share threshold necessary for representation in the *Bundestag*. Forming a coalition with the SPD might also be difficult, given Scholz's [apparent disdain](#) for the CDU relying on the AfD's vote support for its recent migration measure. The CDU will likely need to compromise with the SPD and potentially Greens on some of their proposed economic measures, specifically tax cuts for corporations and removal of certain environmental regulations. This latter issue might be particularly contentious for the Greens

given Merz's [personal fervor](#) in prioritising the economy over the environment. Migration will be another issue requiring negotiation, as the CDU proposes more stringent measures than its left-wing counterparts. Given that in September, [84%](#) of Germans were dissatisfied with the ruling government's immigration policy, the CDU has leverage on this issue.

If the CDU does manage to negotiate a coalition with the Greens or if Pistorius retains his position as Defense Minister, Merz will likely be able to negotiate further support for Ukraine, including the [long-desired](#) Taurus missiles. Merz's projected ability to work with the Trump administration could allow the likely incoming Chancellor to evade [tariffs](#) from the United States, although [Trump advisor](#) Elon Musk's [support](#) for the AfD may be a point of friction.

Section 2: US Election Outcome – Europe Adrift

By Charles Bauman

The alliance between Europe and the United States has been a key element of US foreign policy since the end of the Second World War. Following the war, the US stepped in to support [Europe's recovery](#) with the aim of hindering the growth of Communism and Soviet influence globally. Although relations between them have experienced low points, such as the [Suez crisis](#) or the [Iraq war](#) in 2003, ultimately the partnership has been indispensable to both sides.

However, relations have taken their most negative turn in living memory with the [rise of Donald Trump](#). Trump has been critical of Europe on various issues, especially trade and defence. His recent election signals a return to Euro-sceptic views and creates a systemic — or even existential — risk for the EU and NATO alliances.

2.1. National Policies and Aspirations

The [Republican Party Platform](#) stems from the [Agenda 47](#) proposals in 2023 and forms the foundation of the party's current policy objectives. The platform is effectively Donald Trump's campaign manifesto and concise set of aims and goals once in office. Its aims and objectives are similar to those of the Project 2025 document.

Project 2025's [Mandate for Leadership](#) is the much-publicised policy agenda from the Heritage Foundation which aims to shape the actions of the incoming Republican administration. The project mirrors a [similar effort](#) undertaken by Heritage ahead of Ronald Reagan's first term that allowed the administration to 'hit the ground running.' Though Trump has tried to [distance himself](#) from it, numerous current and former staff and administration members are [directly linked](#) to the project, with some having actually authored pieces of Project 2025. Further, there is already a [clear link](#) between Project 2025 and executive orders the President has issued.

2.2. A Looming Transatlantic Trade War

The Trump administration's return signals a strengthening of protectionist trade policies. The Republican Party Platform and Project 2025 both advocate for reducing the US trade deficit with Europe while prioritising American industry, which risks triggering a transatlantic trade

conflict, straining EU-US economic relations, and further fragmenting Europe's internal market as nations pursue divergent strategies to protect their interests.

2.2.1. A renewed trade conflict

Washington's tariff strategy puts key European industries, such as the [automotive](#) or [steel and aluminium](#) sectors, at risk. Project 2025 frames the US-Europe trade deficit (\$192.6 billion in 2022) as a national security issue, pushing for tighter trade policies and illustrating the drive to reshore many industries. [Germany](#) (where 9.8% of exports are bound for the US), along with [France](#) (where 7.9% of exports go the same way) are two of the most reliant on US markets and will bear the brunt of any trade disruption. As a result, European manufacturers will need to adjust to shifting production networks, ultimately accelerating Europe's move toward economic self-reliance and diversifying partnerships in other regions.

Europe is already [formulating a response](#), but it must be a synchronised one; [otherwise](#), a protracted trade war could damage economic growth on both sides of the Atlantic. The US may levy a blanket tariff on the continent if it feels the current status quo isn't changing. However, things like meeting [defence spending](#) demands or [buying LNG](#) could help the EU, UK, and other European states forestall tariffs. For the UK, Washington's post-Brexit preference for closer ties could lead to a fast-tracked bilateral financial services, defence, and technology deal. However, aligning with US trade standards may put London at odds with Brussels, forcing Britain to navigate competing regulatory demands. If tariffs on EU-origin goods impact UK firms, Britain may be trapped between two competing trade blocs, complicating its post-Brexit economic stability.

2.2.2. The US-China factor and European fragmentation

As the competition between the US and China grows, pressure will be put on the EU and the UK to "[pick a side](#)." Germany is entrenched in its [pro-China position](#), as it is a key car market. Yet countries like Poland, Italy, and the UK will want to strategically align their positions with the US. France champions a third way, that of [strategic autonomy](#), but hasn't moved in a meaningful direction with this theory and cannot reconcile the growing regulatory and strategic incompatibility of the two markets as a destination for European exports.

Such fragmentation could weaken the EU's global negotiating power, making it a less cohesive economic actor. It would also undermine European relations internally and put the bloc at risk. A disorganised Europe would be ripe for a "divide and conquer" strategy, which the [US](#), [China](#), Russia, and other growing powers could seek to employ in order to influence or dominate the continent.

2.2.3. Europe's trade crossroads

Europe must act swiftly to avoid escalating trade conflict with the US. The recent developments with Canada and Mexico show that proactivity is the key to success. Retaliation, if necessary, must be measured, protecting European industries without provoking a damaging trade war. Keeping transatlantic relations amicable buys time for the EU and allies to form a more united, and more diversified, position on trade. In the long term, diversifying trade partnerships beyond the US will be crucial to reduce economic reliance on Washington and insulate the EU from future dramatic policy shifts.

For the UK, aligning too closely with the US risks straining relations with the EU, which is still the nation's most important trade partner. This will force the country to navigate its trade position carefully. How Europe and Britain respond will determine whether they emerge stronger, more resilient, or divided and vulnerable in an era of economic nationalism.

2.3. A New Transatlantic Security Order

The 2024 US election has reshaped transatlantic security, forcing Europe to reassess a defence strategy which was already undergoing massive shifts. The Republican Party Platform and Project 2025 demand a more transactional defence relationship, with European allies expected to shoulder a more significant security burden. While this presents an opportunity for greater European strategic autonomy, it also introduces risks, from a weakened NATO to increased fragmentation in a Europe characterised by vast diversities in military strength.

2.3.1. A shrinking U.S. military footprint

Washington's reduced military presence in Europe could lessen NATO's ability to respond rapidly to crises. The US has already signalled a willingness to move [20,000 troops](#) out of Europe, putting Eastern European states — Poland, the Baltics, and Romania — in direct jeopardy with a revisionist Russia. However, the Eastern partners are among the best-positioned to retain US support, as they are increasingly [high defence spenders](#). Many Western European states already meet NATO's 2% GDP target, but others — notably Germany and Belgium — have been slow to increase their defence budgets, widening fault lines within the alliance.

At the same time, there may be a push for deeper European defence integration, perhaps seeking to inject new life into initiatives like [PESCO](#) or through other modes of [lowering barriers and increasing coordination](#) between member states. Initiatives like this have yet to fully materialise as Member States squabble over the form of these agreements and the structure of institutions. However, momentum in this direction may increase depending on Trump's actions, with European states realising they are increasingly on their own and that banding together is the only protection against a myriad of threats.

The UK faces a similar strategic dilemma on security as on trade. It could deepen its role as America's primary European defence partner, benefiting from increased [intelligence sharing](#), defence trade, and technology access. AUKUS exemplifies the benefits of the UK-U.S. strategic alignment — however, closer ties to Washington risk widening the UK-EU defence gap. If Britain integrates more with U.S. military planning, its defence cooperation with Europe could become more complex and politically contentious.

2.3.2. The Russia question

A less cohesive NATO and EU could embolden Russia, which may test European countries' unity through cyberattacks, hybrid warfare, or provocations in Eastern Europe. Russia is already undertaking significant [hybrid/grey zone attacks](#) across the EU, seeking to destabilise governments and sow fear. Further, military planners are worried that Russia could regain its strength (some say [sooner](#) while others say [later](#)) and [attack the Baltic states](#) by the end of the decade.

In this case, it would be paramount for European countries to strike agreements of closer cooperation, especially if US support is waning. Building a unified defence structure or greater cooperative agreements would enable the bloc to station larger European forces in places like the Baltics, Poland or Romania to counter a conventional invasion by Russian troops. Further, collaborating on intelligence, cyber capabilities, and even special warfare would enable Europeans to begin to counter Russian hybrid aggression.

2.3.3. The road ahead: Europe's security reckoning

With US defence commitments becoming more conditional, Europe must take ownership of its security future. France and Germany must lead efforts to strengthen PESCO, or look for alternate modes of European defence integration, and expand the European Defence Fund (EDF) to ensure greater military self-sufficiency.

NATO must also evolve, with Europe playing a more prominent role in its defence pillar to maintain alliance cohesion independent of Washington. This means states like the UK may need to assume greater responsibility to bring members into alignment. Meanwhile, the UK and EU must establish a long-term security framework outside of NATO, ensuring interoperability and intelligence-sharing despite post-Brexit tensions.

2.4. The Rise of the European Right and Political Destabilisation

Donald Trump's return to the White House has [emboldened](#) Europe's right-wing movements, giving them legitimacy, momentum, and a platform. Additionally, figures like Elon Musk and Steve Bannon amplify nationalist narratives, accelerating and normalising populist rhetoric. As these forces gain traction, Europe faces growing political fragmentation, democratic backsliding, and weakened institutional stability.

2.4.1. The normalisation of far-right politics

Trump's victory has made nationalist and Euro-sceptic policies more politically viable, with far-right parties capitalising on economic frustration and migration concerns. The Alternative for Deutschland (AfD) in Germany is growing, leveraging social media and [Musk's endorsements](#) to push anti-immigration and [anti-EU narratives](#). Upcoming elections in 2025 could see the AfD gain historic ground, pressuring mainstream parties to make policy concessions and destabilising Germany's traditional governing parties.

In the United Kingdom, Nigel Farage is reasserting himself as Britain's leading populist, pushing the Conservative Party further right and [challenging Labour](#) in the polls. Farage is on good terms with Trump, though has a [hot and cold relationship](#) with right-wing influencer Elon Musk. If his movement gains traction anew, UK-EU relations could deteriorate over trade and deregulation disputes, especially if any government or coalition with Farage seeks to prioritise relations with the US over those with the EU.

Marine Le Pen in France and Giorgia Meloni in Italy are [recalibrating their rhetoric](#), as both have aimed to move into the mainstream, distance themselves from the AfD, and even change their positions on the EU. At the same time, Hungary's Viktor Orbán sees this shift as an opportunity to further challenge EU policies on Ukraine, migration, and democratic governance.

2.4.2. Threats to European stability

As far-right movements gain influence, EU policymaking could become increasingly paralysed, as the necessary consensus on migration, economic policy, and defence becomes unreachable. A more divided European Parliament and less cohesion between member states will likely obstruct policymaking, weakening Brussels' ability to manage crises.

Although far-right parties in France, Italy and elsewhere are not as Euro-sceptic [as they used to be](#), Germany, traditionally Europe's stabilising force, faces growing uncertainty. If the AfD secures significant electoral gains, Berlin's role in leading EU economic and security policy could be severely weakened, delaying key initiatives. In the unlikely case that the AfD manages to win a majority and take control of the German government, it would undoubtedly stall much of the EU's integration, defence and climate efforts, to name just a few initiatives.

Section 3: Europe-China Relations Amidst US-China Tensions

By Andi Vitalis and Camille Giacomotto

The EU faces serious geopolitical challenges stemming from a second Trump administration that is compelling Brussels to reevaluate its place in global affairs and the long-term viability of its Union. This relationship with the US is more pertinent due to the increasingly volatile implications of continued US-China tensions on European economic stability. Thus, where and how the EU moves over the coming decade — especially regarding its existing relationship with Chinese counterparts — must reflect unity, addressing internal disagreements about the EU's long-term strategy; ambition in its global presence, particularly in the Indo-Pacific, and forcefulness in leading the Western bloc, to retain and improve the existing rules-based order, which currently faces existential challenges.

3.1. Continuation and Intensification of US-China Trade War

American competition with China has defined contemporary geopolitics. With both countries [responsible for two-fifths](#) of global GDP, it is unsurprising that the ongoing trade conflict has led to [global](#) trade and economic fluctuations. Initially stemming from a protectionist effort by then-President Donald Trump in 2018, the US-China trade war has been [defined by](#) currency pegging, a trade imbalance, and 'most-favoured nation' status. Now, in its seventh year, the US continues to [impose tariffs](#) on Chinese goods and export controls on sensitive technologies. In response, China has made [significant efforts](#) to reduce its reliance on US technology. The reelection of Donald Trump will likely yield further conflict escalation, posing substantial risks to the EU single market and geostrategic primacy.

3.1.1. Impact on Europe

The US-China trade war has posed political and economic [challenges](#) to the EU, as several countries have seen their stock market values, industrial production, and currencies affected. The [mounting risk](#) of trade wars to is twofold in that economic security and strategic positioning are uncertain. This is particularly clear given Brussels's pressure to align with US security policies while safeguarding its economic interests in China. Yet the US is Europe's primary investor and trade partner, [making disruptions](#) a critical economic risk. With the US-China trade war, Europe has been exposed to supply chain disruption, increased market volatility, and reduced economic growth. At its heart, however, the trade war has revealed acute issues of European overreliance on a stable relationship with the US and its economic

dependency on Chinese imports. As a result, the EU faces serious geostrategic and economic questions over its international competitiveness and economic security.

3.1.2. EU-China trade imbalances and tensions

Despite strong trade ties, EU-China relations remain severely [imbalanced](#) in China's favour, as Beijing holds competitive advantages over European industry. Compounding an already unwelcome reality for Brussels, a rise in tensions [over recent years](#) poses mounting threats to the EU's global value chain. However, due to increasing US protectionism, Chinese imports [heavily rely](#) on the EU market. The current security narrative, which advocates for an urgent reassessment of the EU's [overdependence](#) on Chinese supply chains for key materials across key industries, has steadily gained momentum. This narrative has merit, especially given the [concern over](#) Chinese state subsidies, intellectual property theft, and unfair trade practices which comparatively disadvantage EU goods and industry. There is also significant evidence of [Chinese weaponisation](#) of economic dependencies to further its foreign policy goals. Despite growing efforts by the EU to '[de-risk](#),' the underlying trade dynamic between the EU and China has not fundamentally altered, leaving the EU exposed to risk from the [escalating strategic conflict](#) between the new superpowers.

3.2. Technological Dependencies and Disruptions

3.2.1. Over-reliance on Taiwan's semiconductor industry

A key dimension underpinning the US-China rivalry is the battle over [technological](#) primacy, especially as semiconductors become ever [more prominent](#). Like the US, the European tech sector is highly dependent on Taiwan — specifically, the Taiwan Semiconductor Manufacturing Company (TSMC), which [currently leads global](#) semiconductor exports. Since the [pandemic](#), and alongside heightened threats by Beijing towards Taiwan, the EU's dependence on TSMC products for key sectors such as the automotive industry has led to calls for Brussels to adopt derisking strategies not only against China, but against its most vulnerable enemies.

President Ursula von der Leyen emphasised the semiconductor industry as a critical focus in her political and economic [strategy](#) in 2020, which led to the passage of the [EU Chips Act](#) in 2023. The Act encourages European manufacturing of semiconductors, largely through funding research and development (R&D) to boost production and development. Presently, however, the status quo of the European semiconductor supply chain remains essential for European industrial and economic stability. The EU's current strategic advances in this context have been stifled by prolonged structural and regional issues ranging from mere cultural differences, [insufficient human resources](#), to unreliable local government subsidy commitments and stagnant wage growth. Establishing a competitive semiconductor industry will greatly revitalise the EU's economy, geostrategic capacity, and the European project more broadly. However, given that the strategy rests on long-term investment, and thus

ongoing collaboration between regional and global partners, the strategy's success will be greatly tested over the coming decade.

3.2.2. EU's dependence on Chinese critical materials

Compounding the EU's over-reliance on key territories for its technological requirements is the EU's dependence on China for the critical materials essential for European [green technology](#). China [controls over 69%](#) of global rare earth minerals, providing it with significant leverage in global supply chains. The EU's [Green Deal](#) is only achievable, at this stage, with Chinese-controlled minerals, further highlighting the urgency of [supply chain risks](#). The EU's European Critical Raw Materials Act (CRMA) aims to address this challenge, but EU member states need to implement the Act in the near term in order to achieve anything through it.

3.2.3. Market volatility and technology disruption

The EU's overreliance on China and Taiwan for critical minerals and semiconductors, respectively, has threatened market stability — posing [major risks](#) of widespread industrial disruption. The COVID-19 pandemic and subsequent [supply chain crises](#) have highlighted the fragility of globalised production networks. The EU has experienced [firsthand](#) the consequences of these disruptions as it has been forced to compete with both strategic partners and rivals in the race for technological leadership. This has had the [unintended consequence](#) of added pressure on the EU to ensure competitiveness in critical sectors such as artificial intelligence, quantum computing, and precision manufacturing. With escalating tensions between the US and China, the EU must strike a balance between implementing its geoeconomic strategy and maintaining its relationship with both. Without continued joint efforts by EU members, strategic foresight, and active collaboration across the region, the EU faces geopolitical and economic fragmentation.

3.3. The EU's Strategic Position on China

3.3.1. China as a partner, economic competitor, and systemic rival

The EU's current strategy towards China is multifaceted. The new EU Commission acknowledges the paradoxical relationship, calling China a "[partner, economic competitor, and systemic rival](#)."

Regarding the partnership, there are substantial areas where EU-China relations remain cordial. This includes joint action on certain global issues, with climate change front and centre. On climate change, Sino-EU efforts are directed by the Paris Agreement, but are not free from [conflict](#), as the EU's continual efforts to advocate for transparency over sustainability reporting contrast with China's result-oriented industrial policy approach. Despite this, approximately [€2.5 bn](#) was raised between the two sides towards R&D in the

low-carbon sector. Considerations should be made on establishing [joint climate funding](#) mechanisms to enable clearer alignment and mutual accountability enforcement.

Economic competitiveness, especially given the release of [the Draghi report](#) late last year, remains a significant priority on the new Commission's agenda. Acknowledging China as an economic rival is hardly revelatory. 2024 saw increased aggressiveness from Chinese company imports entering the European market. The total number of Chinese electric vehicles (EVs) entering Europe has [risen substantially](#), from 33,000 in 2020 to approximately 490,000 in 2023. Alongside this, China's solar panel manufacturing industry has [maintained its dominance](#) in Europe, with 90% of the region's imports being of Chinese origin. While the EU has initiated [targeted tariffs](#) on Chinese goods to support local European manufacturers and industry, this strategy is undercut by the EU's [trade balance](#) with Beijing being so imbalanced, leaving the EU with little leverage. In 2025, the EU is expected to continue imposing enhanced [trade defence mechanisms](#) to address competitiveness issues. However, in doing so, it will also need to signal its ongoing World Trade Organisation (WTO) rules simultaneously. In addition, Brussels [will likely increase](#) its support for local manufacturing sectors in the net-zero space through targeted tax incentives and subsidies to counter the flooding of European markets by Beijing's current aggressive export strategy.

The EU labelled China a "[systemic rival](#)" following heightened alarm over China's newfound intensification of geopolitical influence bilaterally and multilaterally, persistent application of state subsidies, increased presence across [global digital governance](#), and intellectual property disputes. In the current context, [EU leaders and China](#) disagree over the war in Ukraine, with Brussels criticising China's material support of Russia in the conflict. With a perceived decline in a US-led Western effort to manage China's foreign policy and economic practices, the EU will likely be forced to consider stricter avenues in dealing with a steely-eyed Chinese Communist Party (CCP). The EU will need to coordinate consistent messaging via member states across international and regional organisations and fora if it is to challenge China's narrative. Furthermore, the EU must demonstrate leadership with partner democracies, especially those in the [Indo-Pacific](#) to champion democratic values, if it is to preserve the rules-based order. Multilateral relations must emphasise areas including free trade, digital and data governance, state sovereignty, human rights, and climate change.

3.3.2. Policies to reduce dependency

The EU has initiated key strategic policies to diversify and limit growing Chinese economic influence and, in certain instances, coercion. Following the passing of the [CRMA](#), however, the EU has signalled its intent to reduce Chinese dependency on critical raw materials to below 65% through cooperation with Australia, Canada and Chile. This is an ambitious objective but of absolute necessity, given that China holds 98% of Europe's supply of rare earth elements alongside [60%](#) of all Critical Raw Materials (CRM) imports. However, current EU efforts to diversify are moving in the right direction.

In 2024, the EU reported that its Global Gateway Program, which coordinates [€300 billion](#), had reached strategic understandings with multiple African counterparts — Africa being a key producer of Rare Earth Minerals. For these efforts to continue, the EU must expedite CRM agreements with key counterparts, especially Australia and Africa. Furthermore, Brussels should look to accelerate domestic CRM processing rates through policy incentives that welcome public and private [investment partnerships](#) to allocate sufficient resources where appropriate.

The [European Chips Act](#) will also play a key role in European domestic industrial efforts, as the Act aims to mobilise €43 billion worth of investments to increase European semiconductor production by 20% within the next five years. Additionally, in the green economy, Europe has seen healthy growth in domestic renewable energy production, with solar panel manufacturing output rising to approximately [15%](#) - though greater efforts will be needed to build on this figure.

Europe will need to continue growing its industrial base and capacity to address China's current market share. Added to the EU's decoupling efforts should be the implementation of a robust [supply chain resilience metric](#) framework. The latter would need continual refinement and monitoring so that the current state of EU supply chains continues to be decoupled from Chinese influence. Any issues in reaching these targets will impede the EU's goal of successfully achieving supply chain diversification.

3.4. Geopolitical Considerations

3.4.1. China-Russia alignment

At the heart of the EU's geopolitical considerations for 2025 will be added efforts to support Ukraine in its ongoing defensive war against Russia. Crucially, China's movements in the foreground of the conflict, in its relations with Russia, have driven efforts in Brussels to curb Chinese support to Moscow, including limited secondary sanctions. In 2024, the trade balance between China and Russia reached [\\$240 billion](#). This is driven by energy purchases, as the nature of China's energy security has necessitated a reliance on importation.

The rise of far-right European electoral parties, many of which have [touted pro-Kremlin views](#) — increasingly witnessed in [Central Europe](#) — has put Europe in a weakened position to cast aspersions on China's conduct. With pro-Kremlin leadership of some EU member states, most notably [Hungary](#), a coordinated and united Europe capable of undermining the deepening relationship between Moscow and Beijing seems unlikely. The EU currently requires unanimous agreement to implement secondary sanctions against [Chinese firms](#) involved in assisting the Russian war effort. This unanimity is also hampered by [longstanding internal issues](#) between Member States over the correct way to manage the conflict. Simultaneously, the EU must continue expanding its [intelligence-sharing](#) capacity to

monitor, track, and address Chinese and Russian [dual-use goods](#) and, if needed, impose and [enforce](#) harsher export controls.

3.4.2. Chinese soft power initiatives

China's soft power strategy continues to pose [substantial risks](#) to the EU's strategic autonomy and economic and political cohesion. Beijing's flagship Belt and Road Initiative (BRI) continues its expansion into Europe from its [eastern flank](#). A key example is the [Greek port of Piraeus](#), a strategically valuable maritime hub where Chinese-owned companies hold an approximate [67% controlling stake](#) on all trade volume through the port. The EU's [Foreign Subsidies Regulation](#) from 2023 sought to prevent Chinese state-backed firms from acquiring strategic European assets, but it has yet to effectively limit Beijing's reach. A key security challenge that EU policymakers must address is the persistent security risk posed by Chinese firms embedded within the European telecom services, 5G and rail infrastructure. Some [restrictions](#) have been implemented in key member state economies, notably Germany. However, an EU-wide framework prohibiting Chinese technology for 5G and AI infrastructure, and intensified cybersecurity efforts to [safeguard](#) the EU's infrastructure landscape, should be enacted more forcefully.

3.5. Future Outlook

3.5.1. Spillover of US-China tensions into Europe

The European Parliament released a [report](#) in January 2024 outlining key threats and potential EU responses to the heightened tensions between the US and China. It indicated that efforts to contain Chinese influence and economic presence over the European project and its common market will need to intensify. US-China tensions [will continue](#) under the second Trump administration, so the EU could lobby the US for exceptions to tariffs on US-bound EU exports on the condition of speeding up a de-risking programme which is already underway.

Moreover, the EU will need to increase its domestic advocacy for EU technological autonomy through policy measures to encourage R&D in fledgling technological areas such as quantum computing, [cyber security](#), and semiconductor developments. The EU has already shown through its [IRIS2 satellite internet system](#) that it has the capacity to pursue initiatives that aim to reduce dependency on US and Chinese infrastructure. It must continue efforts in this regard if it is to increase European competitiveness.

3.5.2 Strategic considerations

With the US expected to become more isolationist, the EU should work with allies like the UK and the [Indo-Pacific](#) region, where key partners hold strategic promise in line with European interests. These partners include Japan, India, and South Korea. Relationships in the region should be directed towards areas of mutual interest, such as [technology security](#).

[trade, and in the maritime](#) arena. These initiatives will ensure supply chain diversification and enhance export opportunities for European firms, enabling the EU to project itself credibly as a strategic player. It presently has a unique strategic opportunity to take up some of the mantle of the US, should it become a less active player in the region, by acting to coordinate the safeguarding of democratic values and human rights while also protecting key trade routes in disputed waters.

Section 4: War in Ukraine – The Pivotal Year

By Boyan Tsonev and Marketa Vasickova

During 2024, Russia's position in Ukraine generally improved on all fronts, from Kupiansk to Zaporizhzhia. While Ukraine managed to address its ammunition shortages, its manpower situation worsened, and its economic and political dependence on the West became almost absolute. Russia now holds a certain degree of initiative, but perpetuating the war will have more unwanted consequences for its economy and demographics in the long term. Neither side achieved its objectives, the peace talks show only limited promise, and any deal will likely be fragile. An increasingly dangerous and vicious conflict in the next decade remains a realistic possibility.

4.1. The Situation at the Frontlines and 2025 Projections

In 2024, the Armed Forces of the Russian Federation (AFRF) held the [initiative](#) and material advantage, managing to dent the Donbas fortifications. The AFRF practically reversed the Armed Forces of Ukraine (AFU) 2023 gains and captured critical anchoring positions to the southwest and west of Donetsk city. This has created a buffer zone beyond the western urban suburbs and further opened the vast and resource-rich steppe lands towards the Dnipropetrovsk and Zaporizhzhia Oblasts. In Luhansk, the front from the Svatove road to the Zerebets and the Oskil rivers has been taken by the AFRF.

The AFRF also opened a front north of Kharkiv in May. However, its potential stalled quickly and did not significantly strain the AFU. The AFRF could not fully exploit its [material and industrial](#) advantages and convert them into significant breakthroughs due to a lack of consistent force quality. The only Ukrainian success of the year, the [Kursk offensive](#) in August, ended up being a [sunk-cost fallacy](#) operation like Bakhmut and Krynky that further eroded the AFU's resources for limited and short-lived gains.

This year, the Donbas is expected to ultimately fall under Russian control with the capture of Kurakhovo, Pokrovsk, Toretsk and Chasiv Yar. Further down the line, the encirclement of Sloviansk and Kramatorsk and the expulsion of the AFU from the eastern bank of the Oskil will begin. New AFU operations are not out of the question, but trying to shift the [gloomy narrative](#) and obtain more bargaining power can only work if there is a way to compel Russia to negotiate on Ukrainian-preferred terms, which is not the case at the moment. Both sides are improving their tactical adaptation, tech innovations and integration, which is leading to

increased drone and missile production and, thus, more strikes against each other's military, production, infrastructure and civilian assets.

4.1.1. How willing are all sides to negotiate?

A practical settlement should address the key concerns of Ukraine, Russia, and the West. Ukraine requires reliable guarantees that it will not face another Russian invasion and a clear path to reconstruction and economic prosperity. For its part, Russia expects assurances that Ukraine will not align with the United States or host NATO weapons or forces. Lastly, for the United States and Europe, it is essential to secure reliable commitments that Moscow will not use its military gains in Ukraine to pose broader threats to neighbouring countries or NATO member states.

Negotiations will almost certainly involve strategic and armament issues between the US and Russia, with Ukraine and the EU likely sidelined. Russia's terms will heavily influence talks, and compliance with any deal will be highly complex as Russia's window of opportunity for inflicting a strategic defeat on the West has faded away. Meanwhile, the West's counter-strategy to stop and isolate Russia has met a dead end, and there is a feeling of imminent danger in EU institutions. There is a high risk of each side pushing back against perceived threats and derailing normalisation efforts.

Even just managing to freeze the war with relatively acceptable guarantees for Ukraine (EU accession and rearmament [through bilateral agreements](#)) can only constitute a pause until the next phase begins. The EU will have to commit constant resources to rebuild and maintain a struggling Ukraine and increase its deterrence efforts and military investments for a potential renewal of hostilities on a bigger scale.

4.2. Ukraine in a Desperate Position

4.2.1. Manpower problems

Ukraine's military grapples with significant challenges. Military analysts have [highlighted](#) critical shortages in personnel across all units. Recruitment efforts have become increasingly desperate, with new legislation [allowing](#) previously AWOL soldiers to return to service. This approach reflects the acute strain on the country's forces and raises concerns about the long-term sustainability of its recruitment strategies. The manpower shortage has placed an unbearable burden on remaining soldiers. This has been compounded by rising [desertion rates](#), with over 18,000 cases [reported](#) in the first nine months of 2024—a fourfold increase compared to 2023. Furthermore, corruption within the recruitment system has weakened the military's capacity and public trust.

Efforts to [expand](#) the pool of available recruits aged 25 to 60, estimated at 3.7 million conscripts, are now being [supplemented](#) by a system to attract 18 to 25-year-olds. At the

end of 2024, the military hoped to mobilise only a fraction of the aforementioned number—around 200,000 soldiers. The process has faced obstacles, including ineffective training systems and reassigning unfit or poorly prepared recruits to critical frontline roles. This often creates a dangerous illusion of readiness, as units appear fully staffed on paper but lack actual combat capability. Addressing the manpower crisis will require a combination of structural reforms and innovative solutions. Improved training programs, measures to combat corruption, and enhanced support for soldiers' physical and mental well-being are essential. Without these changes, Ukraine risks further weakening its fighting force, exacerbating the toll on its soldiers, and jeopardising its future ability to sustain its defence efforts in the face of continued aggression.

4.2.2. Air-defence gap

Ukraine's shortage of air defence capabilities has become one of its most [pressing challenges](#). While the US has allocated billions of dollars in aid for Ukraine, this funding would be most effectively used to supply advanced air defence systems that European allies cannot provide, such as PATRIOT systems, AIM-series interceptors, and long-range strike missiles like ATACMS and GMLRS. However, logistical challenges, including delays in manufacturing and international procurement, have hindered efforts to bridge this critical defence gap.

Addressing this deficiency [requires](#) coordinated efforts between Ukraine's allies to [speed up the delivery](#) of advanced air defence solutions and scale up manufacturing where necessary. In 2025, European nations [have the potential](#) to play a vital role in improving Ukraine's current and future air defence capabilities. For instance, they [could](#) adapt their short-range defence and ballistic systems stockpiles. Additional investment to ramp up production of both missile-based and gun-based systems could provide much-needed reinforcement.

4.2.3. Energy production destroyed

By winter 2024/2025, Ukraine had [lost](#) half of its energy-generating capacity, due to Russian attacks on critical infrastructure. Key regions have seen widespread destruction of power plants, irrigation systems, and fuel supplies, severely undermining electricity access for both civilian needs and industrial production. This destruction has left Ukraine reliant on costly imports and international aid to stabilise its energy supply.

Ukraine's agricultural sector has [experienced](#) severe damage, especially in the Luhansk, Donetsk, Kharkiv, and Zaporizhzhia regions. Irrigation systems have been destroyed, with the Kherson region losing 92%, Zaporizhzhia 70%, and parts of Dnipropetrovsk and Mykolaiv regions up to 30%. Military activities have [contaminated](#) and disturbed 188,000 square kilometres of soil, especially the extremely rare and fertile *chernozem* (black soil), with over 105,000 square kilometres in frontline zones requiring demining and restoration. Having lost access to most deep-water ports and costly railway alternatives being also disrupted due to

attacks, efforts to use land routes are insufficient to match pre-war export volumes, leaving Ukraine's agricultural exports severely [constrained](#).

The steel and coal sectors [face](#) similar catastrophic losses. Steel producers, primarily based in southern and eastern Ukraine, operate under constant threat from Russian attacks. Ukraine's largest steel producer, Metinvest, has [lost](#) 65% of its business, including two major plants in Mariupol: Illich and Azovstal. The metallurgy sector is also grappling with workforce shortages, high electricity costs, and disrupted supply chains. Industry leaders [estimate](#) \$62 billion will be required over 20 years for the sector's full recovery, highlighting the extent of the challenges ahead.

4.3. Russia at a Point of No Return

4.3.1. Russia and Trump's "peace through strength" approach

There is a dissonance between how the new Trump administration and the Kremlin perceive the current situation. For Trump, Russia faces irremediable challenges and difficulties that will force it to negotiate; otherwise, Russia will have to deal with increased sanctions and pressure. Meanwhile, the Kremlin is dominated by a rooted belief that the Russian economy is functioning as expected and the West is weak, divided and indecisive. The Trump administration appears convinced that both Russia and Ukraine will have to make concessions, but the Kremlin operates under the premise that its objective of a Russia-aligned Ukraine can still be achieved regardless of foreign involvement, pressure, and sanctions. Considering the broader repercussions of Russia's aims towards Eastern Europe, NATO's role, and strategic weapon placements, it is unclear how much the Trump administration will be willing to discuss without becoming irritated with Russia's stubbornness. If the Kremlin concludes that no favourable deal is possible, it will likely maintain military actions and prolong the conflict without being able to commit to rapid advances. Its post-2022 strategy operates from the assumption that the US, trying to pivot towards its Indo-Pacific interests, will be compelled into understanding that supporting Ukraine is a useless long-term endeavour. It remains to be seen if Europe can afford to continue supporting Ukraine, not just politically but with resources, and risk a direct confrontation with Russia.

4.3.2. Popular indifference and adaptation to the war

The war has enabled Russia to have a relatively unified front at home. An alliance of hardline- and soft-statists among the policy-making and technocratic elite saw an opportunity to get rid of the country's long-lasting "deficiencies." The non-systemic opposition has been eliminated or exiled, and some corrupt officials are being [exposed](#), dealt with, and monitored closely, although with variable outcomes. The war's evolution has shifted perceptions, becoming a [tolerable fact](#) as Russia is no longer perceived to be on the back foot. The Kremlin is willing to overlook its growing dependence on China, increase its

partnerships with Iran, and even work closely with North Korea. Russia is being changed to ensure it remains a challenge to the West beyond the elite's (including Putin's) own survival.

The existential struggle is at the core of Russia's foreign policy; it safeguards the elites' power even though mounting levels of repression can create a rising reservoir of general dissatisfaction with localised sparks across the country's varying regional dynamics and societal echelons. Rebuilding ties with the West will prove difficult. Even though communication channels and some trade might resume, the pre-2022 Russia-West relations are a thing of the past. Russia will gradually become less isolated and less vulnerable to the tools of economic warfare and benefit from having co-belligerents working in tandem.

4.3.3. Russia's economy takes hits, but carries on

Almost a quarter of Russia's [national wealth fund](#) has been depleted since 2022, indicating that Russia still has room to manoeuvre. Oil and gas [represent](#) around 25% of the country's GDP, and future exposure to market convulsions should be closely monitored. The economy's performance will play a role in bringing Russia to the negotiation table, but it will not be the decisive factor this year.

Unemployment has [decreased](#) from 4.7% in 2021 to 2.4% in 2024 due to the expansion of the military-industrial complex, increasing the already [troubled](#) pre-2022 labour shortage in the civilian sector. With [rising](#) inflation and interest rates, a decreasing trade surplus, and low growth, Russia might [enter](#) a loop of stagflation. That is not new, as Russians have been dealing with stagnant income growth for most of the last decade, and the government is insufflating vast sums of money to preserve the social contract. The wartime shocks increased [government spending](#) for soldiers and families. Hefty rewards in the civilian sector caused salaries and consumer spending to soar, helping leverage some of Russia's regional inequalities, with private businesses and blue-collar workers being the most significant winners.

While Russia can likely reach a point where some foreign components, machine tools, and tech are replaced by local production, supplemented by third-party providers, western sanctions and export controls will continue to pose significant economic constraints. The acute problems faced by Russian Railways, a backbone of Russia's civilian and military industry, is one of the most notable examples.

4.3.4. Russian military: reform or tradition?

In 2025, Russia's defence spending will reach its highest point since the collapse of the USSR, with almost 6.3% of the GDP. It will [account](#) for around 20% of the consolidated government budget expenditure. Russia has increased the production of [missiles](#), precision-guided weapons, drones, and artillery munitions, and it has successfully [involved](#) the civilian sector in that process. It has also established an effective repair and refurbishment pipeline for existing equipment. However, the [ageing legacy](#) stocks from the

Soviet Union are nearing their limit and will undoubtedly play a major role in Russia's capacity to stay in the war.

The AFRF's [reconstitution](#) will take at least a decade, and face increased material challenges due to the inherent limits of Russia's industrial capacity and skilled labour shortage. The AFRF will need to further address its culture of inflexible leadership and adherence to rigid doctrine and [adapt it](#) to an environment of rapidly changing strategic and tactical dilemmas. Until [that happens](#), the short-term AFRF will have a duality of strengths and weaknesses. It will likely maintain a large force with greater manpower allocation but be highly dependent on mobilisation. The AFRF has become much better at integrating new technologies in combat and adopting sophisticated methods for long-range precision-guided weapons. Most importantly, it has reorganised its logistics, command, and control and learned to operate in the presence of western long-range precision-guided weapons, intelligence, and targeting.

4.4. Without the US, The EU Shoulders the Burden

4.4.1. Overview of the EU's defence industry

Europe's fragmented defence sector has struggled to meet advanced weaponry and equipment demand. European manufacturers [suffer](#) from inefficiency due to small-scale, inadequate national procurement, and lack a unified defence strategy. This is compounded by the rapid pace of technological innovation, particularly in areas like drone warfare and electronic warfare, where both Russia and Ukraine have [shown](#) considerable agility. Russia has adapted quickly to the [evolving](#) battlefield, transforming its military into a more learning-oriented organisation, raising the question of whether Europe-backed Ukraine can keep pace.

European defence companies are stepping up to the challenge, planning to set up production lines in Ukraine in order to reduce the cost of logistical operations, although that puts them at risk of becoming a potential target for Russian attacks. For instance, Rheinmetall has [established](#) a joint venture with Ukraine's Ukroboronprom to locally repair and maintain equipment supplied by Western allies, and it also [announced](#) plans for the production of 155mm artillery ammunition which is an essential resource for the war. These types of efforts will remain crucial in 2025, to ensure that Ukraine can sustain its defence. A long-term armament strategy which prioritises innovation, increased collaboration, and more consistent funding is needed to ensure that Europe can meet the demands of both the current and future conflicts.

Although it can be argued that this war has been fought in a manner that will not resemble a NATO-Russia conflict, European militaries cannot simply count on their past wartime experiences. For example, most European [air forces](#) lack munitions for a sustained conventional war and it would take only a few weeks to deplete their arsenals. Lessons from the front in Ukraine also show that European militaries can no longer ignore [manpower](#)

[challenges](#). Addressing them will require profound societal debates over the models to implement in each case.

4.4.2. Escalating hybrid warfare

Russia and Ukraine have [engaged](#) in multiple propaganda, data gathering, sabotage, and assassination operations. Both sides have also relied on civilians and criminal groups to carry out these tasks in exchange for monetary sums. [These operations](#) will continue affecting Europe, as seen with different cyber operations, the sabotage of [submarine pipelines](#) and cables in the Baltic Sea, GPS spoofing affecting airliners, [covert surveillance](#) of key industries, trade hubs or military complexes, and a rise of cases involving exploding packages. Tensions between Russia and the West will most likely continue to create an overdrive of recruitment among intelligence agencies in Europe, reaching levels not seen since the height of the Cold War.

4.4.3. Prospects for EU-led defence Initiatives in Ukraine

The war has revealed Europe's urgency to assume greater responsibility in defending the continent. With the possibility of [reduced](#) U.S. military engagement—amid political uncertainties in Washington and the challenges of Donald Trump's term, European leaders must step up economic and military support for Ukraine. Addressing broader security challenges will [require](#) a unified and coordinated effort.

European leadership and its stance on supplying aid to Ukraine and increasing military spending have evolved, but remains highly uneven across the continent. Countries like Poland, the Baltic states, and the Nordic nations have shown decisive action, advocating for increased aid and coordination on Ukraine and meeting or even exceeding NATO's GDP defence target. However, Germany in particular has been slow to provide critical aid, such as long-range Taurus missiles, and has yet to fully align its policy and defence spending with the scale of the threat. France, weakened by domestic political challenges, faces similar obstacles. The EU must move beyond fragmented efforts by scaling up defence capabilities through integration and innovation. A joint European defence industry is needed to ensure a consistent supply of weapons and ammunition. Currently, Europe [lags](#) far behind the United States in military contributions to Ukraine; North Korea has reportedly supplied more artillery shells to Russia than the entire EU has provided to Ukraine. This imbalance underscores the need for a united approach to increase production capacity, cut costs, and streamline procurement processes.

In the event of a ceasefire or peace agreement, both Ukraine and Europe must remain prepared for the strong [likelihood](#) of future Russian aggression. Western investment should focus on modernising Ukraine's military to NATO standards, including airpower, ballistic missile defence, and a strong ground force. Furthermore, Ukraine's integration into EU structures and the possibility of becoming either a ["shadow NATO member"](#) or a

fully-fledged NATO member (a subject of significant debate) would solidify its position within Europe's security architecture.

Ultimately, Europe must recognise that its security depends on taking the lead. A failure to act decisively risks undermining the transatlantic partnership and emboldening Russian aggression beyond Ukraine. With strong leadership and a commitment to shared defence, Europe can secure Ukraine's future while bolstering its own security against looming threats.

Section 5: Change in the Middle East – An Opportunity for Extremist Actors

By Emma Isabella Sage and Maximillian Kanter

2024 saw major changes in the Middle East. The conflict in Gaza expanded to include direct confrontation between Israel and Hezbollah in Lebanon, Israel eliminated key Hamas and Hezbollah leaders, and Iran and Israel directly traded strikes for the first time. Elsewhere in the Middle East, the Assad regime in Syria fell to Hayat Tahrir al-Sham (HTS), and the war in Sudan between the Sudanese Armed Forces (SAF) and the Rapid Support Forces (RSF) persisted. The beginning of 2025 has already proven that the Trump administration will be an unpredictable force in the region, with the potential to upend longstanding elements of the status quo.

5.1. 2025 in the Levant

Israel emerged from 2024 the undisputed regional power, having militarily and strategically overcome what may have been intended as the 'endgame' of Iran's proxy strategy. However, Israel is also increasingly at odds with a variety of international actors, facing both long-simmering diplomatic conflicts at the UN and new setbacks like the International Criminal Court (ICC) arrest warrant issued for Prime Minister Benjamin Netanyahu and former Defence Minister Yoav Gallant. With a strong – if erratic – ally in the White House, it is likely that Israel will manage to forestall a major confrontation with the international community for at least 4 more years. The main issue which will determine the character of the Levant in 2025, and its impact on neighbouring regions, will be the resolution of the ongoing military operations on Israel's borders and the governance of Gaza.

5.1.1. European foreign policy response

In addressing the conflict in the Levant, Europe faces historic challenges and internal strains which run counter to those more directly relevant to European security, such as alignment against Russia. Europe is divided on the degree of threat it faces from the China, Russia, Iran, and North Korea (CRINK) axis, the [degree of alignment](#) among them, and even the [extent to which](#) the current war around Israel is attributable to Iran.

Any escalation scenario threatens to weaken EU cohesion if member states differ on policies toward refugees and conflict intervention, and could exacerbate existing worrisome trends towards polarization and religious intolerance, with associated risk of radicalisation. Increased diplomatic linkages of the Israeli-Palestinian conflict to unrelated regional

diplomatic issues could also threaten the EU's ability to conduct business with regional partners, with associated economic risks.

Yet, paradoxically, the current ceasefire has not significantly ameliorated the political or material risks. There remains a high risk of terrorist threats on targets related to Israel or the Jewish community. Some EU politicians, recognising the degree to which the Israeli-Palestinian conflict mobilised their base, may pursue greater involvement in the Middle East through diplomatic/INGO channels, potentially leading to greater economic connections and increased 'stake' in any potential peace agreements. However, this might also mean that Europe would shoulder some burden of financing reconstruction and development in Middle Eastern conflict zones, and thereby face an increased risk of terrorist threats related to any dealings with Israel, despite the fact that these will be necessary for any participant in the reconstruction of Gaza.

5.2. Increased Polarisation, Domestic Unrest and Prospects for Terrorism

5.2.1. Political polarisation and intercommunal violence

In addition to political and economic risks at the state level, the conflict in the Levant has incurred domestic social risks in Europe. As some Palestinian nationalist factions seek to '[globalise the intifada](#),' the risk of various types of political and ethnoreligious violence has surged.

The conflict has been heavily covered on social media, vastly outperforming public awareness and debate on other regional conflict zones such as Sudan and Yemen, and thereby carrying a unique risk profile in terms of domestic unrest and radicalisation. This creates an opportunity for other threat actors, with Russia already having [weaponised the issue](#) to sow dissent. The narrative is also shaped by [information warfare campaigns](#), and the troubled legacy of Western interventions in the Middle East post-9/11, which shaped the Western public understanding of counterinsurgency warfare. The relationships and identities of various regional actors are poorly understood, frequently leading to attacks on targets which are at best [tangentially related](#) to the conflict. Still, it is likely that global ramifications of the conflict in the Levant will disproportionately affect Jewish and Arab/Muslim communities.

In November 2024, these factors culminated in a major international incident when Israeli soccer fans were embroiled in street violence following a Europa League match between Maccabi Tel Aviv and AFC Ajax in Amsterdam. [The attacks](#) resulted in multiple injuries and hospitalizations, prompting Israel to dispatch planes for evacuation. Further incidents like this are expected in 2025.

5.2.2. Terrorism

Jihadist terrorism remains the most significant threat to EU security in terms of lethality, and of the 426 individuals arrested on terrorism-related charges in 2024, 334 were associated

with jihadism. Even the threat of terrorism continues to have an economic and social impact, as when a Taylor Swift concert in Vienna was [cancelled](#) due to a foiled ISIS-related attack. The European Commission expects lone actors, including those who have self-radicalised and claim affiliation with terrorist groups but act independently, to continue perpetrating most of the terrorist attacks in the EU in 2025.

With the conclusion of the Syrian civil war, there is the [known risk](#) of returning foreign terrorist fighters (FTFs), which have been a consistent terrorist profile. However, data suggests a [growing](#) and potentially underappreciated risk of terrorism among youth, which may have a significant impact on risks of terrorism in 2025.

5.3. The Threat of Disinformation and Foreign Influence

While widely reported, scandals such as '[Qatargate](#)' have not translated to public concern regarding Middle Eastern interjection in European politics, despite the persistent and varied [threat of foreign influence](#) to European institutions. Similarly, while Iran emerged as a [major disinformation actor](#) in the 2024 US Presidential election, few outside [the Iranian diaspora community](#) have discussed the threat of Iranian disinformation in Europe.

5.3.1. Scenarios for foreign interference

There are two plausible methods by which Middle Eastern powers will seek to extend their influence into Europe in 2025: soft power, and covert operations. The main avenues through which the Gulf States have sought to accrue greater soft power are sports, media, academia, and through leveraging their checkered diplomatic relationships to act as a fulcrum between conflict parties. Examples of sports and media investments include Saudi Arabia's purchase of LIV Golf; the UAE hosting a yearly F1 race; and Qatar funding Al Jazeera, Middle East Monitor and Middle East Eye. According to a 2024 [Strategic Assessment](#) by the Institute for National Security Studies, "in the years 2012-2018, almost a quarter of all foreign donations to American universities came from the six Gulf states," leading to concerns of "[reputation laundering](#)." Some even theorise that there is a [relationship](#) between this avenue for soft power development and the proliferation of views aligned with Gulf State interests on college campuses, translating to both direct risks to students of minority Middle Eastern background and an increased risk of elite capture. All of this is [likely to continue](#) in 2025.

Covert operations are by far the more pressing threat, at least in the short-term. With Qatargate, the threat of MENA influence operations came crashing into the public eye in the form of bags of foreign cash passed amongst EU Parliamentarians and staffers. It is likely that those states with the necessary resources, notably the Gulf States, will continue attempting to leverage money to create influence among elites. The historical record demonstrates a [lack of sufficient safeguards](#) to prevent corruption and influence-peddling to foreign interests. MENA countries including, but not limited to, those involved in Qatargate may learn from their past exposure and develop less blatant methods of bribing EU government officials.

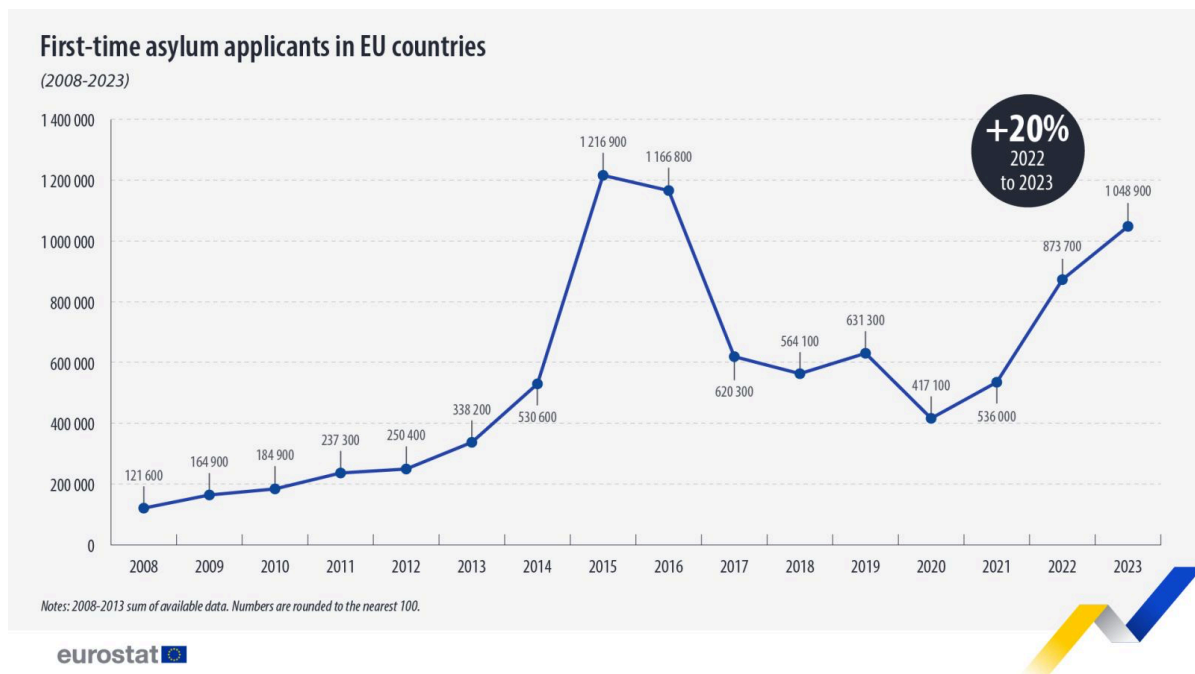
Covert operations have an even darker dimension – the use of lethal force against dissidents. The killing and dismemberment of Saudi journalist [Jamal Khashoggi](#) at a consulate in Istanbul revealed a West blindsided by the boldness of Middle Eastern authoritarian state actions against even relatively soft-spoken dissidents. There are very few proactive safeguards in place for even very high-profile dissidents or defectors in the EU, as evidenced by the [recent killing](#) of Russian defector Maxim Kuzminov. Most recently, Iranian dissidents have been under [particularly widespread attack](#). Despite significant [Iranian kinetic operations](#) in the European arena, the EU still [lacks a coherent strategy](#) on Iran.

5.4. Population Shifts

The recent regime change in Syria has prompted European nations to reassess their policies toward Syrian refugees and asylum seekers. Several countries, including Greece, Italy, Germany, Austria, and the UK, have [temporarily suspended](#) the processing of Syrian asylum claims to evaluate the evolving situation in Syria.

5.4.1. Trends in displaced populations, routes to entry, and EU criteria for refugee/asylum status

[In 2023](#), Europe saw a 20% increase over 2022 in asylum seekers, with over 1 million first-time applicants. This was the first time since the migration crisis of 2015-2016 that Europe had experienced such a high volume.



Of these, the largest group was men aged 18-35, with women of any age accounting for only 30% of the total.

In 2024, the Eastern Mediterranean Route remained a primary pathway for Syrian refugees entering Europe in Greece or Bulgaria. In the [first half of 2024](#), this route saw a 75% increase in arrivals, totaling nearly 25,000 detected migrants, while the nearby Western Balkans route saw a 72% decrease.

Germany, Spain, France and Italy were the countries which received the greatest number of asylum applications, with Germany alone receiving [over 30%](#) of the EU's total applicants. It is [highly likely](#) that some member states will carry out deportations of Syrians in 2025, although it is currently unclear whether regional instability will result in a net increase or decrease in the rate of immigration.

In response to Russian and Belarusian actions funneling migrants to EU borders, Poland has announced plans to [temporarily suspend the right to claim asylum](#), with Finland having created the legal structure to follow suit. 2025 may see the proliferation and implementation of similar laws, as states seek to balance their international obligations with their right to self-defense from a tactic which is increasingly classified as '[hybrid warfare](#).'

5.4.2. Strain on European resources and services

[2023 saw the highest number](#) of illegal border crossings at the EU's external borders since 2016. Indeed, at approximately 380,000, this was triple the number of illegal border crossings detected in 2020. Some European countries experienced an [uptick in violent offenses](#), as well as [transnational organised crime](#), straining the continent's law enforcement agencies.

Whilst [2024 saw a decline](#) in detected illegal border crossings, the mandates of Europe's border services exceed their current capacity. In light of this pressure, Ursula von der Leyen, President of the European Commission, has [acknowledged the need](#) to strengthen both Frontex (the agency tasked with securing the EU's external borders) and Europol (the EU's law enforcement agency). While the latter employs [just 2,500 officers](#) at present, it is projected to [increase to 10,000](#) by 2027 – still one-third of von der Leyen's [proposed target of 30,000](#).

Although numerous European countries have, in the wake of Assad's fall, paused their processing of Syrian asylum claims – a notable development insofar as Syrians constituted the [highest number](#) of first-time asylum applicants in 2023 – refugees and immigration are likely to continue as a major political issue in 2025.

5.4.3. Social and political tensions in ME diaspora communities in Europe

The interests and identities of Middle Eastern diaspora communities are far from monolithic. In the context of democracies, in which freedom of speech is enshrined, diaspora community members are positioned to espouse a vastly wider range of positions than would be possible in their home countries, with few exceptions. Some diaspora communities, such as the Iranian diaspora, have developed significant dissident contingents, complete with

anti-regime, pro-democracy media channels, and even suggestions of a '[ruler-in-exile](#)' in the son of the former Shah.

The [exportation of conflicts](#) to diaspora groups is complex, and in part depends on the relationship between the people and the government which is a conflict party. Such is the case with Israel and Iran, governments which are positioned as arch-enemies but whose diaspora communities often make [common cause](#). This contrasts sharply with the relationship between Jews and Arabs in diaspora, which can be highly unpredictable and defies clear categorisation but presents the most significantly increased risk of inter-ethnic violence.

Other diaspora communities embroiled in ethnic conflict which is liable to be exported include the Turks and the Kurds, while Sunni-Shia violence is also possible in the aftermath of the disunity among Iranian proxies. There also remains the [persistent threat](#) of religious violence against apostates and those whose conduct is perceived as divergent from in-group norms, even if it is in keeping with the broader society.



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5.5. Trade Risks

Critical maritime routes in the Middle East include the Strait of Hormuz, which connects the Persian Gulf to the Gulf of Oman and the Arabian Sea; the Suez Canal, which links the Mediterranean and the Red Sea; and the Bab al-Mandab Strait, located between the Horn of Africa and the southern tip of the Arabian Peninsula. All three serve as vital conduits for international trade: whilst roughly [one third](#) of the world's shipping container volume transits through the Suez Canal, the Strait of Hormuz handles about [one fifth](#) of global oil supply. Similarly, the Bab al-Mandab Strait sees up to [a quarter](#) of the world's goods traverse its waters – including an estimated 4.5 million barrels of oil per day. All three waterways face varying risks from piracy, militia terrorist attacks, and spillover from nearby conflicts.

The disruption of these maritime routes would significantly affect Europe's energy security, trade, and economic stability. It would test the EU's ability to act collectively on foreign policy and crisis management, and potentially also its ability to engage militarily. To mitigate this risk, Europe will need to accelerate the adaptation of its energy strategy, increase its strategic reserves, diversify supply chains, and strengthen maritime security collaboration with international partners.

5.5.1. The nature of the threat

Since November 2023, the Houthis in Yemen have conducted [over one hundred attacks](#) against commercial and military vessels in the Red Sea – ostensibly in solidarity with Hamas. Despite the collective efforts to safeguard maritime security by the US-led multinational coalition ([Operation Prosperity Guardian](#)) and the EU naval mission ([Operation Aspides](#)), the Iran-backed group's attacks have persisted. US and UK [airstrikes on Houthi strongholds](#) across Yemen have similarly failed to deter the group. Although the number of Houthi attacks on international shipping has decreased since July 2024 (compared to the first half of 2024), the number of transits through the Bab al-Mandab Strait has now dropped to [around half](#) its typical level.

Whether Houthi attacks on international shipping increase or decrease in 2025 will depend on various factors. Most notably, since the Iranian-backed group has used the ongoing war in Gaza to justify its attacks, it is likely such incidents will occur at a lower rate until there is another round of fighting between Israel and Palestinian forces. Indeed, with the recent ceasefire between Israel and Hamas, it is possible that Houthi attacks on international commercial targets will subside completely in 2025.

On the other hand, the level of Houthi attacks may also be affected by the incoming US administration's stance towards Iran. Should the Trump Administration adopt a more hawkish approach towards the Islamic Republic, Tehran may rely on its proxy in Yemen to continue exhibiting a level of assertiveness on the geopolitical stage — especially as the remainder of its so-called 'Axis of Resistance' has been so diminished.

5.5.2. The European economic impact

Regarding the trade impacts of conflict around critical waterways, the critical factors are that regional state actors have shown willingness to secure trade routes by force, and the non-state actors who pose the likeliest threat have no clear path to strategic gains through inviting all-out war. Europe's financial exposure to future conflict in the Middle East may therefore rest largely on its future energy security strategy and the degree to which it seeks to engage with emerging markets in the region. Overall, it is unlikely that Europe will face significant economic risks stemming from the Middle East in 2025.

Section 6: The EU's Crisis of Sovereignty and Identity

By Alexandre Doré and Alma Puente Moreno

The European Union faces a crisis of identity and function as Member States increasingly prioritise national sovereignty over collective governance. Internal polarisation, rising far-right influence, and geopolitical challenges undermine the EU's cohesion and effectiveness. The EU's ability to lead and act independently is in question, creating vulnerabilities for individual member states and the bloc as a whole.

6.1. European Identity, Unity, and Purpose

The European Identity has a direct relation to the concept of [European integration](#). One of its challenges is how to maintain a supranational governance framework without invalidating the national identity of each Member State or each nation's sovereignty in its territory.

In addition, the EU has some exclusive competences, as set forth in the [Treaty](#) on the Functioning of the European Union. Other competences are shared, meaning the Member chooses how to apply the legislation. Nevertheless, some Member States have raised concerns about the heavy influence of European Sovereignty in their territories.

6.1.1. Internal sovereignty conflicts

The conflict over internal sovereignty will be important in 2025. The rise of far-right parties criticising the EU on the grounds of sovereignty poses a threat to the EU in both framework and function. The grounds for this criticism often stems from the perception of the domestic impacts of EU policies on issues such as migration, economics or fiscal policy. This has empowered far-right parties to question where the sovereignty of the EU ends and national sovereignty starts.

Moreover, although all Member States are part of the European Identity, their priorities are not uniform, nor are they all aligned with those of the EU. This also creates conflict over sovereignty and the transfer of competences to the EU.

6.1.2. Crisis of purpose and leadership

The EU currently faces challenging dynamics among [its institutions](#). The European Council is now partially composed of influential political leaders from parties that criticise the role of the EU. Additionally, the priorities of the six-month rotating presidency of the Council of the EU vary from one term to another. The European Parliament is greatly divided across the

political spectrum, complicating the objective of the European Commission, which is largely to maintain the current direction of the EU.

The EU struggles to define its role in a multipolar world: is it a geopolitical power, an economic bloc, or a guarantor of shared European [values](#)? The European Union officially acts as an organisation that [supports](#) economic, social and security policies for the Member States. Nevertheless, it is also a significant power in international geopolitics. It must balance values-based diplomacy against the more mercantile concerns of promoting the interests of its constituents.

The recent international conflicts in Ukraine and Gaza have highlighted differences in opinions between Member States which will continue to be a challenge for the EU in 2025. Maintaining a unified diplomatic position as an increasingly solitary actor in a multipolar world will require a level of coordination beyond that which is currently in evidence.

6.2. Security and Geopolitical Concerns

Dependence on external powers has been characteristic of European defence; this is the genesis of the European Commission's clearly-stated desire to create a single defence market. The interests of Europeans in doing so are twofold. Currently, many EU Member States procure defence materials from outside the continent, which can be explained by the quality of foreign goods, such as the US M109 artillery piece, and the incapacity of many European countries to produce viable domestic alternatives. As a result, foreign firms receive incredibly valuable production contracts. However, this reliance gives the country which controls defence production outsized leverage in negotiations. Recently, the United States and various European countries have [tried to influence](#) Israeli decision-making by leveraging their ability to stop exporting weapons, and in some instances have followed through on these threats. For Europe, and particularly for those countries without a strong defence industrial base ([all of them](#) except France, Germany, Italy, Spain, Sweden and the UK), this risk is especially troubling in the context of relations with the United States during the second Trump presidency.

The aim of a single defence market hangs on the agreement of the Member States. While it primarily benefits those EU Member States disillusioned by NATO, it may also have significant economic consequences for European defence firms such as Dassault or Leonardo, which [would benefit](#) from increased demand, particularly from Eastern European countries. In contrast, some smaller domestic firms will inevitably lose market share when faced with this new competition. An alternative could be the development of transnational arms-production conglomerates, or transnational projects through the EU PESCO initiative (which is open to the UK and US).

6.3. Rise of the Far-Right and Political Polarization

The rise of the far right poses inherent threats to European unity and to the EU's global standing. Fringe parties with nationalist and populist agendas, whose platforms are often embedded with Euro-scepticism, also challenge the Union by openly rejecting Europe's core values and alignment. This is evident with far-right parties like the AfD, the Austrian Freedom Party and the Slovak Voice openly showing their support to Russia. This is often explained as a willingness to overlook Moscow's aggression in exchange for economic benefits, or an alignment on 'traditional values,' but there has also been a [well-documented trend](#) of these far-right parties receiving [direct Russian funding](#). In addition to the evident risk of state capture, this affiliation weakens the EU's ability to enact an effective response to Russian security threats, from the war in Ukraine to acts of hybrid warfare.

The rise of the far right also poses challenges to other aspects of EU foreign policy. As a component of its foreign policy, the EU often promotes the development of democracy or human rights through conditionality clauses in trade deals. Yet in some cases, European countries are not up to the standards they aim to promote. EU Member States including [Poland](#), [Hungary](#) and [Slovakia](#) have been through rule-of-law crises, and throughout the EU enlargement zone there have been concerns of [democratic backsliding](#). In these cases, judicial, executive and legislative powers have gradually been concentrated around one figure, although none to the level of Hungary's Viktor Orbán. The lack of independence of the judiciary often leads to situations where EU regulations are willingly ignored, to the detriment of the single market and law enforcement cooperation.

6.4. Economic and Strategic Autonomy

6.4.1. Economic pressures

In 2024, economic pressure will be one of the main concerns for the Member States, and this focus is expected to increase throughout 2025. Inflation continues to increase prices of consumer goods, while the housing crisis has [increased](#) the cost of living to the point (in the view of [some parties](#)) of government intervention.

In the longer view, there is a need for fiscal policy adjustment to balance budgets and address the high debt rates predicted for most countries in the EU. However, in the short term, spending on defence and green transition are the most likely to increase in 2025, in line with the main priorities of the European Union and the Commission.

6.4.2. Defence, security and strategic autonomy

The top European defence topic of 2025 will be the war in Ukraine. One of the main priorities of the new Commission starting in 2025 is ensuring a [strong and secure Europe](#). Strengthening common borders and building a European Defence Union marks part of a

clear and durable shift in the priorities of the EU towards security. In addition, the six-month [Polish presidency](#) in the Council of the EU that started in January 2025, has highlighted security as the top priority – specifically, the defence of the “East Shield and the Baltic Defense line” against Russian aggression.

This policy direction will be undermined by the wavering stance of some Members on Ukraine. While there are a variety of reasons for certain members to be less forceful in countering Russian aggression, the issue which has hindered European policy from the start — its energy dependency on Russia — will either end or be significantly reduced in 2025.

6.5. Risks for Europe in 2025

6.5.1. Internal paralysis

The risk of internal paralysis in the EU originates from the reliance of the European Council on a veto system for its decision-making in key strategic fields, including defence, foreign policy, taxation, finances, citizenship and membership. European politics have seen significant polarisation on most of these topics. While centre-right to centre-left parties differ on many issues, they share a pro-European sentiment and ability to collaborate, which is visible in a broad coalition in the European Parliament composed of the Social Democrats, Renew and the Conservatives. Such sentiment does not extend to the political extremes. In 2025 and onward, topics such as the accession of Ukraine and Moldova to the EU or further cooperation in the field of defence and foreign policy are likely to trigger the use of [blackmail](#) through veto power.

From a geopolitical perspective, the recent election of Donald Trump puts Europe at the centre of a power struggle between China and the United States, which creates both risks and opportunities. While the traditional European strategy has been to prioritise its economic and strategic relations with the US, Trump’s menace of not coming to the aid of certain member states against Russia and his plan to [increase tariffs](#) against Europe leaves the continent somewhat unmoored. As a result, the EU is likely to significantly invest in supply chain diversification and building third-party alliances.

6.5.2. Economic dependencies

The EU's reliance on Russian gas has rightly been a major topic of concern, but it is far from the only critical dependency that Europe currently faces. In addition, the EU has to navigate these supply chain issues in a competitive global market, and is now frequently facing threats from better-positioned actors, such as China in the electric vehicles sector.

Although the EU is focused on the green transition, competitiveness and autonomy have not taken a back seat. With Trump’s presidency and the new EU Commission, creating a competitive path forward for EU industries and encouraging trade while maintaining autonomy will be one of the main challenges for the EU.

6.5.3. Decline of EU influence

By some [metrics](#), EU influence has been [declining](#) for years, and with the political crises in countries who previously held a leadership role, namely France and Germany, 2025 will be challenging for the EU in terms of soft power. With a competitive Chinese market and the unpredictable Trump presidency, the EU will have to work to maintain its place in a multipolar order. While the EU acknowledges the need for competitiveness, the green transition still takes precedence. This differs from powers such as China or the EU, where trade and competition are clear priorities. The EU must find a way to take a commanding role in international politics and lead through example in order to demonstrate the viability of its model.



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